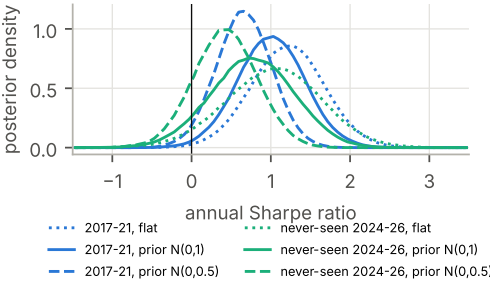
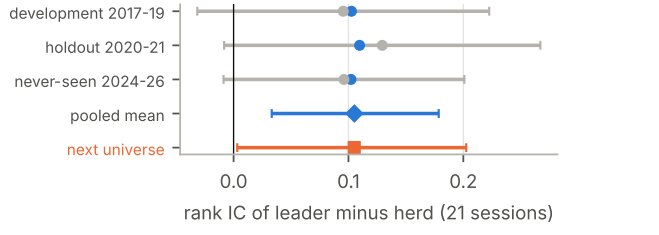

Posterior Sharpe ratio under sceptical priors
posterior density
1.0
0.5
0.0
−1
0
1
2
3
annual Sharpe ratio
2017-21, flat
2017-21, prior N(0,1)
2017-21, prior N(0,0.5)
never-seen 2024-26, flat
never-seen 2024-26, prior N(0,1)
never-seen 2024-26, prior N(0,0.5)


Random-effects meta-analysis: P(IC > 0 next) = 0.96
development 2017-19
holdout 2020-21
never-seen 2024-26
pooled mean
next universe
0.0
0.1
0.2
rank IC of leader minus herd (21 sessions)